

Lending Policy Manual

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Effective Date: January 1, 2026

1. Purpose and Scope

This Lending Policy Manual establishes the credit standards, approval criteria, and risk framework for all consumer lending products. All relationship managers and credit analysts must adhere to these policies when evaluating loan applications.

2. Credit Score Requirements

Minimum credit score requirements by product and amount:

Personal Loans up to \$25,000: Minimum credit score of 650. Applicants with scores 650-699 require additional income documentation for the past 24 months.

Personal Loans \$25,001 to \$50,000: Minimum credit score of 700. Scores 700-749 require senior credit officer approval. Scores 750 and above qualify for streamlined approval.

Personal Loans above \$50,000: Minimum credit score of 750. Credit committee approval required for amounts exceeding \$75,000.

Home Equity Lines: Minimum credit score of 700. Combined loan-to-value must not exceed 80%.

Auto Loans: Minimum credit score of 620. Scores 620-659 limited to \$25,000 maximum and 48-month terms. Scores 660+ qualify for standard terms up to 72 months.

3. Debt-to-Income (DTI) Ratio Limits

Maximum DTI ratios by product:

Personal Loans: Maximum DTI of 40%. For applicants with credit scores above 750, DTI up to 45% may be approved with senior credit officer sign-off.

Home Equity: Maximum DTI of 43% including the new credit line at full utilization.

Auto Loans: Maximum DTI of 45%. Monthly auto payment should not exceed 15% of gross monthly income.

For all products: Applicants with DTI above the standard maximum but below the exception threshold must demonstrate compensating factors such as significant liquid reserves (6+ months of expenses), stable employment history (5+ years), or substantial collateral.

4. Customer Segment Policies

Lending limits and privileges by customer segment:

Standard Segment: Maximum unsecured personal loan of \$25,000. Standard interest rates apply. Minimum 12 months of account relationship required.

Premium Segment: Maximum unsecured personal loan of \$75,000. Rate discount of 0.5% on all products. Expedited processing (48-hour decision). Dedicated relationship manager.

Gold Segment: Maximum unsecured personal loan of \$150,000. Rate discount of 1.0% on all products. Same-day preliminary decision. Priority credit committee review. Access to exclusive investment-linked lending products.

5. Collateral Requirements

Secured lending standards:

Personal Loans above \$50,000: May require collateral equal to 50% of loan value. Acceptable collateral includes fixed deposits, investment portfolios, or real property.

Home Equity: Property appraisal required within 90 days of application. Maximum LTV of 80% for scores 700-739, or 85% for scores 740+.

Auto Loans: Vehicle must be no more than 7 years old at loan maturity. Maximum LTV of 100% for new vehicles, 90% for used vehicles.

6. Approval Authority

Lending authority levels:

Relationship Manager: May recommend personal loans up to \$25,000 for applicants meeting all standard criteria.

Senior Credit Officer: May approve personal loans up to \$50,000, auto loans up to \$75,000. May grant DTI exceptions up to 5 percentage points above standard limits.

Credit Committee: Required for all loans above \$50,000, any DTI exception above 5 points, and any loan to a borrower with prior delinquency history.